

velop their own script and possibly get it financed as well would be a dream. But it doesn't mean that if Clooney has to do *Ocean's 14* he will first come to Reliance-ADAG. He would probably offer it to Warner Bros first, where his Smokehouse Productions has a long-term production deal, signed in 2006.

If DreamWorks has had a history of chewing up its partners and throwing them out, such as Paul Allen who invested \$500 million in its foundation, Hollywood has had a worse relationship with foreign money. Only Sony, which paid \$5 billion for Columbia Pictures in 1989 and Rupert Murdoch who acquired 20th Century Fox for \$2 billion, have survived. But the deal is a breakthrough for Reliance-ADAG which will now own all India rights to any future DreamWorks films made with it (this discounts films it is contractually obligated to make with Paramount). It also gives them an insider look at how Hollywood's muscular distribution system works. As a Reliance-ADAG source says, "Hollywood is a truly global industry, with 50 per cent of its revenue coming from outside America. We can learn from that." Indeed, the scales of the two industries are vastly different. Even at the most optimistic estimate by PriceWaterhouseCoopers, the revenue from the Mumbai film industry hit \$2.2 billion in 2007—just one film from DreamWorks, Spielberg's *Indiana Jones and the Kingdom of the Crystal Skull*, has already made \$778 million in box-office receipts alone. What's more, the six major Hollywood studios' total revenue in 2004 was \$44.8 billion.

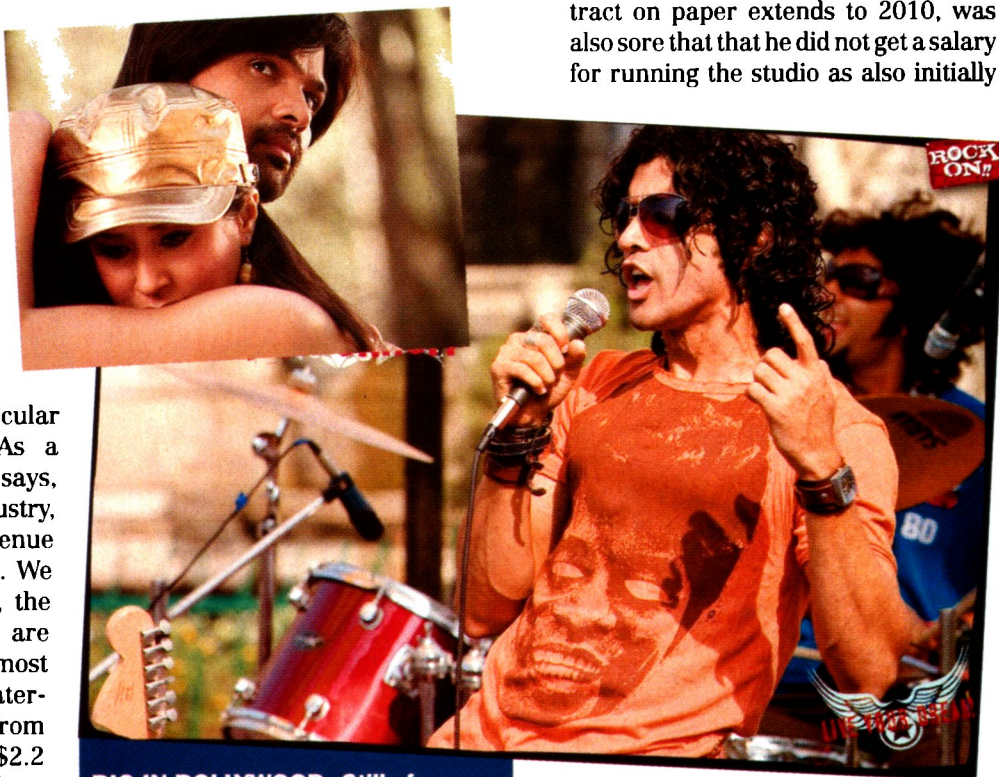
To become a global player, Reliance-ADAG knows, it has to keep the home advantage. It has already started the process in India, striking deals with Excel Entertainment and Vinod Chopra Productions, while also financing an array of regional films at a total investment of over \$700 million in the next 18 months. The new entity will still be dependent on another Hollywood studio for distribution, which will not be an inexpensive proposition, given

HOME ADVANTAGE

Reliance hopes DreamWorks will take its soft power global

■ Reliance owns over 150 multiplex screens in India and 251 in the US. By 2009, it aims at 1,000 screens globally.

■ It has greenlit 100 movies for the next two years in India in several languages at a total investment of over \$700 million.



BIG IN BOLLYWOOD: Stills from *Rock On!!* and the forthcoming *Karzz*

■ The company has tied up for six films with Farhan Akhtar-Riteish Sidhwani's Excel Entertainment, three films with Vinod Chopra Productions and one with Mani Ratnam.

■ Reliance is producing regional films with directors such as Shaji N. Karun, M.S. Sathyu and Gautam Menon.

■ Its presence in radio, DTH and eventually television will give Hollywood a peep into emerging markets.

Spielberg's demands. It appears it might be Universal, a Spielberg favourite where he made *Jaws* and *Jurassic Park* and where he still has his Amblin Entertainment office. It will also not be easy for Reliance officials to work with DreamWorks. The Paramount experience should be a lesson—the spats between Spielberg and Paramount Chairman Brad Grey were as legendary as the dust-ups between Redstone and Geffen. While DreamWorks considered itself a sibling of Paramount, Grey thought it was one of several labels his studio owned. Spielberg, whose contract on paper extends to 2010, was also sore that he did not get a salary for running the studio as also initially

that DreamWorks' annual production fund was only \$300 million a year.

Gitesh Pandya, editor, *Box Office Guru*, calls the deal "promising". For Amritraj, a long-term Hollywood player, "India is planting its flag in Hollywood." While that may take its time in happening, it is clear that now's the time for some hard bargaining for the DreamWorks movies under development at Paramount. Some tough decisions will be called for, as Spielberg and DreamWorks CEO Stacy Snider decide who of the 150 employees to take with them to the new company. Some dreams, on both sides, may just have to be compromised if the marriage of Reliance's "global reach" with Spielberg's "creative vision" is to last. ■